

What do you mean by “helpful in the negative?”

I didn't believe it. The book convinced me that technical analysis was a road not to go down. In that sense, it saved me a lot of time.

But one could come up with a rational explanation of why chart analysis might work—namely that the charts reflect the net impact of all the fundamentals and the psychology of all the market participants.

You can't prove a negative. I can't prove it doesn't work. All I can say is that I did not see enough substance there to pursue it. I didn't want to take time to try things unless I thought they were pretty good.

So after your summer of reading and research what avenues did seem worthy of exploration?

I didn't come with much after that first summer, and everything was on hold for the academic year. The next summer, I continued my research into the stock market. One hot and sunny June day, I was sitting under the shade of a tree in my backyard, and in my first hour reading, I came across a periodical called *RMH Warrants and Low Price Stock Survey* by Sydney Fried. I think the publication still exists; his son runs it now. I realized that the pricing of warrants should be mathematizable.

The huge amount of variables that might apply to trying to forecast stock prices were almost all eliminated if you focused on warrants instead. I wrote down a short list of the factors that I thought should determine the warrant price. These included the price of the underlying stock, the strike price, the volatility, the time to expiration, and the interest rate level. There were all the same factors that everyone today agrees determine option prices. I started thinking about what formula might define the warrant price. That fall, I transferred to the University of California at Irvine (UCI). On my first day on campus, I was telling the head of the School of Information and Computer Science about my efforts to derive a warrant pricing model, and he told me that there was someone else at the university doing the same thing. That person turned out to be Sheen Kassouf, who had already written a thesis that contained a theoretical model for determining warrant prices. It wasn't a very good model, but it wasn't bad. It was certainly much better than not having any model.